

V. Nutrition Services and Administration (NSA) – Administrative Costs (General)		PROCEDURE 5.002 Implementing Office: Community Health Administration (CHA) Revised July 2019
Approved by: _____ LaQuandra S. Nesbitt MD, MPH; Agency Director	Review by Legal Counsel: _____ Phillip Husband, Esq.; General Counsel	Effective Date: 04/12/2017

I. Authority	USDA
II. Reason for the Policy	CFR § 246.13(j) Local Agency Financial Management CFR § 246.14(a) Program Costs
III. Applicability	DC WIC State Agency and DC WIC Local Agencies
IV. Policy Statement	The State agency shall maintain a financial management system, which provides accurate, current and complete disclosure of the financial status of the Program. This shall include an accounting for all property and other assets and all Program funds received and expended each fiscal year. Allowable Administrative Costs 1. Direct Charges – Allowable administrative costs per personal compensation; personnel benefits; postage/shipping; travel expenses; equipment purchase and rental; communications and utilities; printing and reproduction; office supplies; building and facilities space rental; maintenance; outreach services; translators and interpreters; fair hearings; transportation and other expenses directly related to WIC activities. 2. Personnel – The cost of personnel time directly involved in WIC Program operation. Time sheets or a time study must be available to support the charge of employees who spend only a portion of their time on WIC. The time of personnel employed in general capacity, such as agency directors, manager, receptionists, etc., is not an allowable direct charge. 3. Travel – The cost of local agency staff, including transportation, lodging, subsistence, and related items incurred by employees due to WIC-related business. Use of WIC funds for local agency staff to attend meetings, workshops, or continuing education sessions directly related to WIC duties may be allowed when they fall within the definition of maternal and child health or provide for the professional development of staff.

	4. Equipment – All equipment including computer require State Agency approval as follows: Non - computer equipment up to \$24,999 a. Purchase or rental of equipment with a unit cost of up to \$24,999 requires State Agency approval before the equipment can be purchased or rented. State Agency will respond within two (2) weeks. Non - computer equipment costing over \$25,000 b. Major equipment or any other capital-related costs in excess of \$25,000, must be submitted in writing to the State Agency. State Agency will respond within approximately six (6) weeks after receiving prior approval from FNS. Computer equipment up to \$5,000 c. Purchase or rental of equipment with a unit cost of up to \$5,000 requires State Agency approval before the equipment can be purchased or rented. State Agency will respond within two (2) weeks. Computer equipment costing between \$5,000 and \$25,000 d. Major equipment or any other capital-related costs between \$5,000 and \$25,000 must be submitted in writing to the State Agency. State Agency will respond within approximately six (6) weeks after receiving prior approval from FNS. Guidance for equipment purchase is provided in FNS Handbook 901. e. Medical Equipment – Medical equipment purchase is limited to the following: Spectrophotometer, centrifuge and scale for measuring cell volume, scale (pediatric or adult), and measuring boards. Guidance for equipment purchase is provided in FNS Instruction 815-1, Purchase of Medical equipment 5. Equipment Documentation – Documentation of equipment purchase must be sent to the WIC Manager at the State Agency. 6. Program Incentive Items – Prior approval is required from the State Agency to purchase program incentive items. Program incentives may include promotion items given to applicant, potentially eligible persons, participants, or persons closely associated with the Program for outreach purposes to encourage program utilization and redemption. 7. Costs Associated with Childhood Immunizations – WIC participant immunization assessment, referral, education and caseload management are allowable WIC costs. The State Agency will obtain and distribute materials on immunization for clients. Local agencies with special needs must notify the State Agency for
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	assistance in acquiring suitable educational materials. WIC funds cannot be used to purchase or administer vaccines. 8. Building and Facilities Space Rental – Space cost is allowable when supported by justification. 9. Expenses Shared Between WIC and Other Programs – Direct charges must be based on WIC's actual expenses or an equitable prorata charge. Documentation outlining the procedure for charging costs allowable to WIC and other programs must be on file at the main site or readily available. 10. Audits Performed by Outside Agencies – Direct charges for audits are not allowable unless accepted by the State Agency as a replacement for the USDA-required audit. The State Agency requires prior written approval for such cost. 11. Management Studies Performed by Outside Agencies – The State Agency must obtain prior written approval from the Food and Nutrition Services (FNS) for management studies performed by agencies or departments other than the State or local agency, or those performed by outside consultants under contract with the State. Unallowable Administrative Costs 1. Indirect Costs – Some items commonly included under indirect costs may be allowable if they are itemized as a direct cost. 2. Physician and Nurse Salaries – Costs associated with these professionals are not allowed unless the WIC Manager approves them. 3. Medical and Automated Data Processing (ADP) Equipment – Except as provided for in FNS Instruction 815-1.
V. Procedures	The following process must be followed concerning requests of items and services relating to administrative costs: Equipment 1. Submit a written request to the State Agency that includes: a. A description of the equipment; b. Justification of the need; c. At least two (2) bids (including sales tax, shipping and handling); and d. Equipment specifications that include information pertaining to the model, serial number, size, quantity, and any other enhancements that can be identified as appropriate. 2. For non-computer equipment costing up to \$24,999 and computer equipment costing up to \$5,000 await written notification from the State Agency within two (2) weeks.

3. For computer equipment costing over \$25,000, await facilitation of approval from FNS. Upon FNS approval, the State Agency will provide a written notification within six (6) weeks.
4. Upon receipt of the equipment, send the following information to the WIC Program Manager:
 - a. Description of the item(s);
 - b. Cost;
 - c. Date of acquisition;
 - d. Manufacturer's or other serial number;
 - e. Source of the item;
 - f. Use and location; and
 - g. A copy of the bill of sale.
5. Label equipment with the inventory number.
6. Update the inventory report form and submit it to the State Agency with the monthly invoice.

Program Incentive Items

1. Complete the Incentive Approval Request Form in **Appendix 5.002A**.
2. Submit to the State Agency.
3. Allow two (2) weeks for review and response from State Agency.

Building and Facilities Space Rental

Submit a request to the State Agency with the following information:

1. Justification of need;
2. Name and address of lease-holder;
3. The location;
4. The number of square feet allocated to WIC;
5. The cost per square foot per year;
6. The total monthly and annual rent costs;
7. What the rental includes (utilities, maintenance, etc.); and
8. A statement that the space will be used for WIC Program purposes only.

Audits Performed by Outside Agencies

Submit a request to the State Agency with the following:

	1. Scope of the audit; 2. Time period covered; 3. Cost allocation method to be used to distribute cost (when the audit covers other Programs); and 4. Certification to confirm the independence of the audit entity. Management Studies Performed by Outside Agencies 1. Submit written request to the State Agency. 2. Upon receipt, the State Agency will review and determine if request is necessary and appropriate. 3. After the internal review, the State Agency will forward the request to FNS for review and response. 4. Await written notification from the State Agency.
VI. Appendix	5.002A Incentive Approval Request Form
VII. Reference	N/A